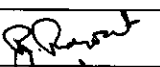
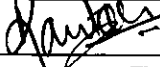
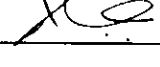


	Title: Loan Policy	Document No.: CMRHR2015-005
		Effective Date: 01/08/2015
		Valid till: Next Revision

Approvals:

Particulars	Name	Designation	Date of Approval	Signature
Prepared by	Ritu Rawat	DGM - HR	31/8/2015	
Recommended by	P M Gautam	Chief Executive Officer	31/8/2015	
Approved by	Mohan Agarwal	Managing Director	19/9/15	

Implementation	The HR Department will be responsible for the effective administration of this policy
Policy Supersedes:	- Vehicle Loan Policy issued on 29th July 2006 - Two- wheeler Loan Policy issued on 29th Oct 2013 - Existing policy on Loans against liabilities / salary advances

Loan Policy

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1. Objective

The objective of this policy is to provide financial assistance to employees during financial exigencies and providing them assistance for purchase of vehicle for official use.

2. Scope & Applicability

The policy is applicable to all on roll employees of CMR based on the eligibility for the specified financial assistance

3. Loan /Advance**3.1 Eligibility :**

All confirmed employees of CMR are eligible to apply for an advance/ interest free loan subject to genuine verifiable purpose of loan application

3.1.1 A gap of six months is required from the completion of any existing loan for the next loan to be considered

3.2 Loan/ Advance Amount & Approvals

AMOUNT		APPROVAL
3.2.1.1	Less than or equal to 80% of the total liabilities (gratuity, bonus, LTA & PL/EL , etc.) of the employee up to a maximum of 1 lakh	Plant Head/ Corporate HOD
3.2.1.2	ADVANCE SALARY may be given in the first 6 days of the month in case of urgent requirements subject to maximum 2 times in the same financial year	
3.2.1.3	More than 80% of the total Liabilities (Gratuity, Bonus, LTA & PL/EL , etc.) of the employee / Amount exceeding 1 Lakh	MD/ED/ CXO

3.3 Procedure**3.3.1 For Loan**

ACTIVITY		RESPONSIBILITY
3.3.1.1	Employee applies for loan in application form (Annexure 1) and submits to HR Dept. after recommendation from his/her HOD	Employee
3.3.1.2	HR verifies information and forwards the application to Accounts	HR
3.3.1.3	Accounts verifies the information and forwards the application to concerned Approving Authority	Accounts
3.3.1.4	Approving authority sends the form to HR after approval/ rejection	Approving Authority
3.3.1.5	HR communicates loan acceptance/ rejection to employee & submits form (if approved) to Accounts	HR
3.3.1.6	Accounts processes the Loan and makes the payment; subsequent monthly deductions are made from employee's salary	Accounts

3.3.2 For Advance Salary

ACTIVITY	RESPONSIBILITY
3.3.2.1 Employee applies for advance in application form (annexure 1) and submits to HR dept. after recommendation from his/her HOD	Employee
3.3.2.2 HR verifies information and forwards the application to Approving Authority	HR
3.3.2.3 In case of approval HR sends the application to accounts	
3.3.2.4 Accounts processes the advance and makes the payment; subsequent deductions are made from employee's salary for the month against which advance was taken	Accounts

3.4 Repayment

- 3.4.1 The advance salary will be deducted from the immediate next salary of the employee
- 3.4.2 The loan will be repayable in maximum **10 equal monthly instalments** from the salary of the employee starting from the month subsequent to the one in which the loan has been disbursed
- 3.4.3 Employee may repay the balance amount in a single installment any time before 10 months and get loan clearance from accounts department
- 3.4.4 In case of resignation/ termination of employee before the loan tenure, the employee is required to repay as per clause 3.4.3 failing which the outstanding loan amount will be recoverable in the full and final settlement.

4. Interest Subsidy for Vehicle Loan**4.1 Eligibility**

- 4.1.1 The company will not give any loan for purchase of vehicle since vehicle loans are easily available.
- 4.1.2 **TWO WHEELER LOAN INTEREST SUBSIDY:** Employees who have completed one year in the organization are eligible for interest subsidy on two wheeler loan.
- 4.1.3 Monthly interest subsidy amount will be calculated as below

$$\text{Monthly subsidy} = \frac{\text{Total interest payable during Loan period}}{\text{Loan Period (in years)} * 12}$$
- 4.1.4 **CAR LOAN INTEREST SUBSIDY:** Employees at Assistant Manager or above who have completed two year of service in the organization and do not enjoy company owned vehicle facility are eligible for interest subsidy on car loan for purchase of new/ reused cars
- 4.1.5 Monthly interest subsidy amount will be calculated as below

$$\text{Monthly subsidy} = \frac{\text{Total interest payable during Loan period} * 50\%}{\text{Loan Period (in years)} * 12}$$
- 4.1.6 Maximum ceiling amount for Monthly Interest subsidy for vehicle loans is as given below
- | Level | Maximum Ceiling Amount (in Rs) | |
|-------------------------|--------------------------------|------------------|
| | Two Wheeler Loan | Car Loan |
| Sr. Manager – Sr. GM | | 3000/- per month |
| Asst. Manager - Manager | 300/- per month | 2000/- per month |
| Non Managerial Staff | | Not applicable |
- 4.1.7 Employee must submit self-attested photocopies of the loan approval from respective Bank to avail the subsidy

- 4.1.8 Interest subsidy will be paid as a monthly reimbursement to the employee till the time it is due to the bank and the employee is in employment of CMR group
- 4.1.9 In case of a genuine necessity of two wheeler to carry out official duties, the required minimum duration completed in the organization for two wheeler loan interest subsidy may be reduced by MD/ED/ CXO
- 4.1.10 Employee would have to bear all tax liabilities on vehicle loan interest subsidy as applicable by IT Act
- 4.1.11 Employee would bear all expenses related to insurance, registration, maintenance & running of the vehicle.
- 4.1.12 A gap of 4 years will be required from the date of start of the previous interest subsidy for an employee to be considered for next one
- 4.1.13 The company may at its sole discretion reject the application for vehicle loan interest subsidy without assigning any specific reason to the employee

4.2 Procedure

4.2.1 Interest Subsidy for Vehicle Loan

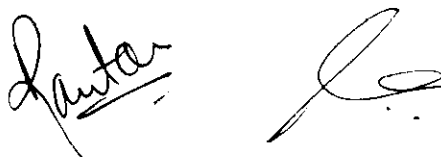
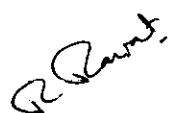
ACTIVITY	RESPONSIBILITY
4.2.1.1 Employee applies for Vehicle Loan Interest Subsidy (Annexure 2/ Annexure 3) as applicable and submits to HR Dept. after confirmation from his/her HOD	Employee
4.2.1.2 HR verifies information and forwards the application to Accounts	HR
4.2.1.3 Accounts verifies the information and submits form to Approving Authority	Accounts
4.2.1.4 Approving Authority forwards the accepted/ rejected form to HR	Approving Authority
4.2.1.5 HR communicates acceptance/ rejection to employee & submits form (if approved) to Accounts	HR
4.2.1.6 Accounts processes the application and makes the monthly payment against monthly requests by the employee	Accounts

4.3 Loan Amount & Approvals

	APPROVAL
Two Wheeler Loan Interest Subsidy	Plant Head/ Corporate HODs
Car Loan Interest Subsidy	MD/ ED/CXOs

4.4 Other Loans

- 4.4.1 The Management may at its discretion grant/ approve a loan to an individual based on terms and conditions mutually agreed upon with the company

Annexure -1**APPLICATION FOR LOAN /ADVANCES**

Name		Date of Joining	
Department		Designation	

I hereby apply for a loan/advance salary of Rs..... for the following reasons:

Tick the relevant:	
Advance Salary	Loan against liabilities(Gratuity, LTA & PL/EL, etc
I propose to repay the advance as one time deduction from my salary of (month)	I propose to repay the loan in 10 instalments @Rs. per month w.e.f.(month)

Date: (Signature of Employee)

VERIFICATIONS**DEPARTMENT HEAD**

I reject the loan application due to following reason:

I recommend a loan/ advance of Rs.....to be given to

Date:

Signature :

Name :

HR DEPARTMENT

Date of Joining		Monthly basic		Monthly gross	
Total Liability:		Total Eligibility (80%)			
Bonus		Leaves			
LTA		Medical			
Others		Others			

Date:

Name :

Signature :

FINANCE DEPARTMENT

Existing loan/ advance salary from the company taken by the applicant are as follows:-

S.No	Nature of loan/ advance	Amount	Clearance Month	Next Eligibility Month
1				
2				

Amount of eligibility is to be paid in 10 instalments.

Date

Signature:

Signature :

Accountant:

HOD Finance :

FINAL APPROVAL & PAYMENT ADVICE (MD/ ED/ CXO/ Plant Head)

Approved a loan/ advance salary of Rs. to be recoverable through a deduction of Rsagainst salary w.e.f/ of (month)

Date

Signature :

Name :

Annexure -2**TWO WHEELER LOAN INTEREST SUBSIDY APPLICATION**

Name		Unit/ Corporate	
Department		Designation	
Monthly CTC		Date of Joining	

1	I am a field staff	YES		NO	
2	I have completed 1 year of service in CMR	YES		NO	
3	Total Loan amount taken from bank is Rs.				
4	Name of Bank :				
5	Total Payback period (in years) :				
6	Percentage Interest Charged :	Total Interest payable during loan period:			
7	Monthly Interest Subsidy Calculation = $\frac{\text{Total interest payable during Loan period}}{\text{Loan Period (in years)} * 12}$				
8	Monthly reimbursement amount to be given as Interest subsidy :				

Date: _____ (Signature of Employee)

VERIFICATIONS**DEPARTMENT HEAD**

I recommend an interest subsidy of to be reimbursed monthly to the applicant

Date: _____ Name : _____ Signature : _____

HR DEPARTMENT

I confirm that the particulars provided in this application and the facts stated in this form are correct and documents of Bank Loan Approvals & interest amount calculations are checked & verified.

Date: _____ Name : _____ Signature : _____

FINANCE DEPARTMENT

Existing loan Interest Subsidy from the company taken by the applicant are as follows:-

S.No	Nature of loan/ advance	Amount	Clearance Month	Next Eligibility Month
1				
2				

Date: _____ Name : _____ Signature : _____

FINAL APPROVAL & PAYMENT ADVICE (MD/ ED/ CXO/ Plant Head)

Approved a Two Wheeler loan interest subsidy of Rs. per month to be reimbursed totill the end of loan period/cessation of employment

Date: _____ Name : _____ Signature : _____

[Handwritten Signature]

[Handwritten Signature]

Annexure -3CAR LOAN INTEREST SUBSIDY APPLICATION

Name		Unit/ Corporate	
Department		Designation	
Monthly CTC		Date of Joining	
Date of Birth		Age	

I hereby apply for a car loan interest subsidy for purchase of Car on following grounds:

I am enjoying the facility of company owned vehicle	YES		NO	
I have completed 2 year of service in CMR	YES		NO	
I have taken a vehicle loan in the past	YES		NO	

DETAILS OF CAR

Type of Car	USED	NEW	Name of Bank	
On Road cost			Loan Amount from Bank	
Down Payment Amount			Duration of Loan	
%age interest Charged		Total interest payable during loan period:		

Monthly Interest Subsidy Calculation = $\frac{\text{Total interest payable during Loan period}}{\text{Loan Period (in years)} * 12 * 2}$

Monthly reimbursement amount to be given as Interest subsidy :

Date: _____ (Signature of Employee)

VERIFICATIONSDEPARTMENT HEAD

I recommend an interest subsidy Rs to be reimbursed monthly to the applicant

Date : _____ Name : _____ Signature : _____

HR DEPARTMENT

I confirm that the particulars provided in this application and the facts stated in this form are correct and documents of Bank Loan Approvals and interest amount calculations are checked & verified

Date : _____ Name : _____ Signature : _____

FINANCE DEPARTMENT

Existing Vehicle loan Interest Subsidy from the company taken by the applicant are as follows:-

S.No	Nature of interest subsidy	Amount	Clearance Month	Next Eligibility Month
1				
2				

Date : _____ Name : _____ Signature : _____

FINAL APPROVAL & PAYMENT ADVICE (MD/ ED/ CXO)

Approved a Car loan interest subsidy of Rs. per month to be reimbursed to till the end of loan period/ cessation of employment

Date : _____ Name : _____ Signature : _____